



Investor Briefing & Q3 2014 Performance

October 2014

EQUITY CENTRE



Update on Macro Economic Environment



Markets

- 1 GDP Rebased:** In September of 2014, Kenya National Bureau of Statistics revised the country's GDP for 2013 from KES 3.8 trillion (USD 42.6 billion) to KES 4.76 trillion (USD 53.3 billion). As a result, the growth rate in 2013 was revised from 4.7 percent to 5.7 percent. The rebasing moved Kenya to the ranks of Middle Income Nation Status
- 2 Exchange Rate: The US Dollar – Kenya Shilling exchange rate increased to 89.09 Kenyan Shilling in September from 87.75 in July of 2014.** Although the Kenya shilling has been under pressure due to declining FX revenues from the tea and tourism sectors, the exchange rate continued to be supported by resilient foreign exchange inflows through diaspora remittances and sustained foreign investor participation in the Nairobi Securities Exchange (NSE). Lower international commodity prices (oil and food) and the start of the horticulture export season should provide some support for the KES in the coming months

Political and business

- 3** Sustain and persistent pursuit of regional integration from a community to a customs union to a monetary union and ultimately a political federation; this will create a viable market while significantly reducing barriers to trade and harmonising policies
- 4** The British, German and US government has relaxed **travel advisories to Kenya**, a move likely to bring relief in the country's critical **tourism sector**.



Macroeconomic Environment (continued)



Political and business (cont'd)

- 5 The recent upgrading of UNEP office to UN Status 1 office and relocation of dozens of global companies's African office to Nairobi together with government focus on improving security and developing infrastructure (roads, power, telecommunications) have **enhanced Nairobi's status as a frontier market**
- 6 Entrenched **credit information sharing and enhanced innovation in Mobile and Agency Banking** within the region

Infra-structure

- 7, **Infrastructure spending** continues apace. In July 2014 the government announced plans to roll out **construction of 10,000 kilometers of roads** in various part of the country within the next three years. These roads will be under an annuity financing program, contractors will access loans guaranteed by the Treasury from commercial banks. The Treasury will repay the loans in equal installments (annually) over eight years, starting from the time the road section is completed.
- 8 The construction of the gas pipeline as a result of huge natural gas finds in Tanzania and the commencement of construction of the standard gauge high-speed railway line from Mombasa to Rwanda through Nairobi and Uganda together with the prospect of commencement of construction of Lamu Port and the crude oil pipeline to open up the exploitation of oil fields in Kenya, Uganda and South Sudan has **enhanced the raking of the East Africa Region as an investment destination**. These sentiments have been boosted by greater policy reforms, regional integration to a common market and sustained macroeconomic and structural, constitutional and legal reforms



Macro-Economic Environment - Sep 2014



Macro-economic Indicators	Kenya	Uganda	Rwanda	Tanzania
Current Account to GDP	-8.20%	-12.40%	-10.20%	-10.10%
FX Rate (USD/Local currency)	89.33	2643.87	687.37	1670.50
Private Sector Credit Growth	25.54%	11.0%	14.3%	13.7%
Real GDP Growth (IMF 2014 Forecast)	5.80%	4.73%	7.40%	6.90%
GDP USD Bn	53.42	21.48	7.45	33.23



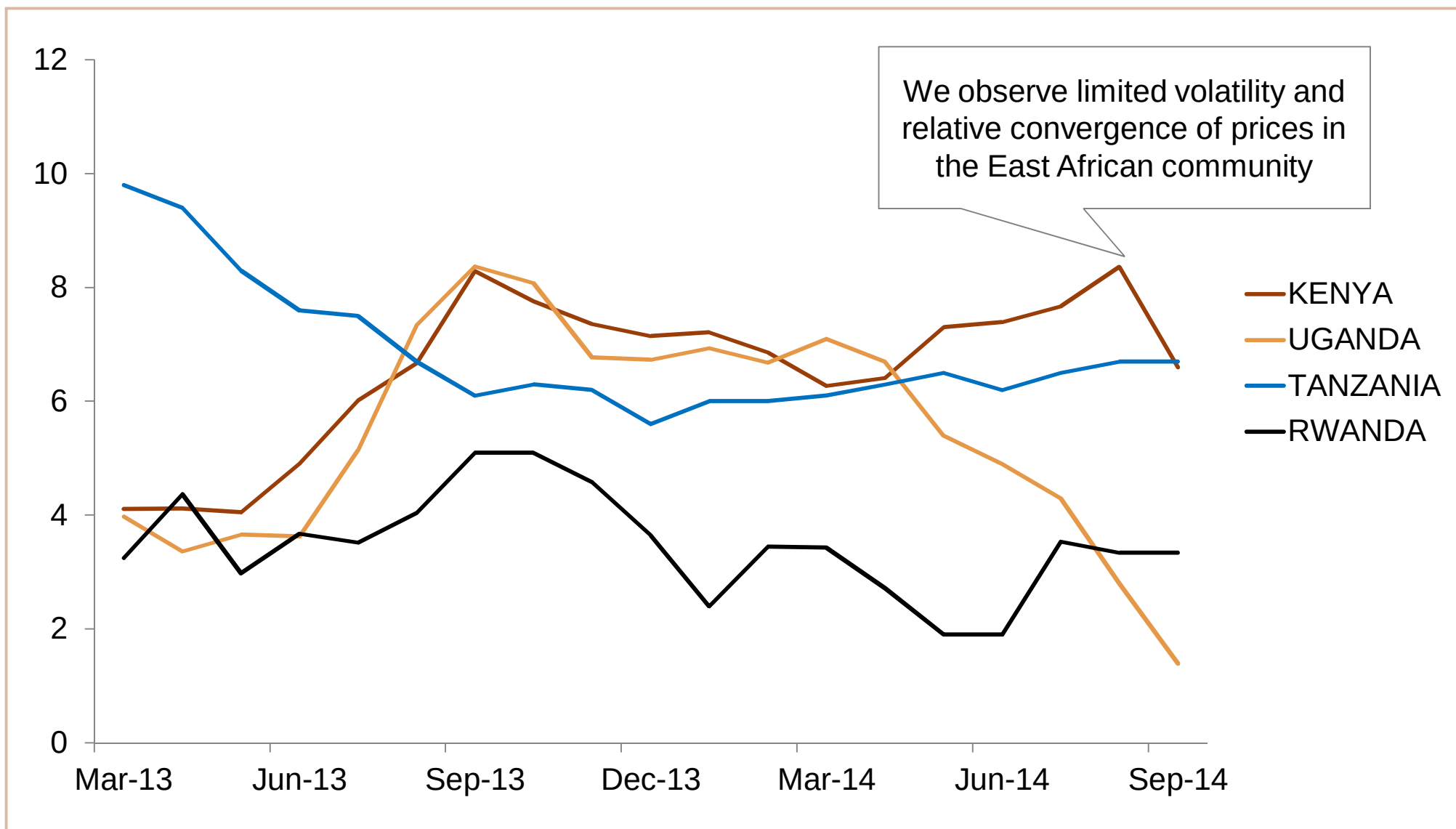
Interest rates- Sep 2014



Interest rates	<u>Kenya</u>	<u>Uganda</u>	<u>Rwanda</u>	<u>Tanzania</u>
91 Days T. Bill	8.61	10.97	4.62	12.17
182 Days T. Bill	8.91	11.47	5.23	13.84
364 Days T. Bill	10.33	12.57	6.49	14.05
Central Bank Rate	8.50	11.00	6.50	12.00
Inflation (CPI)	6.60	1.40	3.34	6.70
Interbank Rate	6.70	7.84	5.53	5.77



Inflation (CPI)



EQUITY CENTRE



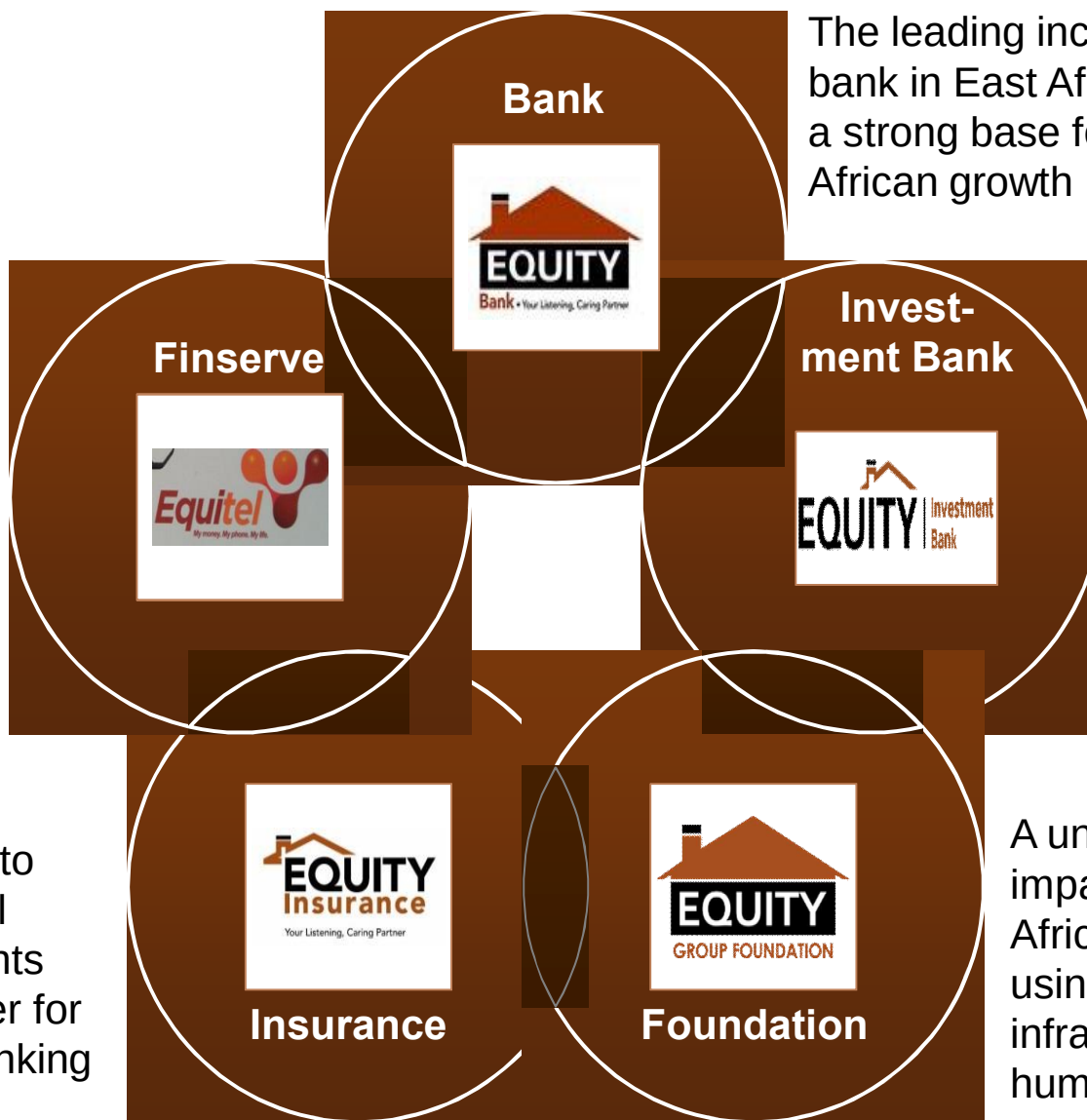
Bank at a Glance



Equity Group is comprised of five major components



A distinctive agile, convenient and secure mobile channel that seamlessly integrates and converges bank accounts and other financial products and services while providing value-add telecoms products and services



The leading inclusive bank in East Africa, with a strong base for pan-African growth

Investment services for our corporate clients: brokerage, custodial and advisory

Insurance products to deepen the financial inclusion of our clients while providing cover for risk mitigation of banking products

A unique approach to impacting the lives of African in our communities using the Bank's existing infrastructure, enormous human capital and Brand



Equity Bank is now transitioning to Equity 3.0, our boldest step change that will take the bank to the next level





Equity has earned substantial accolades and recognition in 2014



Equity's Awards and Recognition



Best Bank in East Africa 2014



Bank with the Lowest Charges 2014



2014-Top Banking Brand in Kenya

Equity's Global Credit Rating



Equity Bank Limited

Kenya Bank Analysis

Security class	Rating scale	Rating	Rating outlook
Long term	National	AA ⁻ _(KE)	Stable
Short term	National	A1 ⁺ _(KE)	

Equity's International Rankings

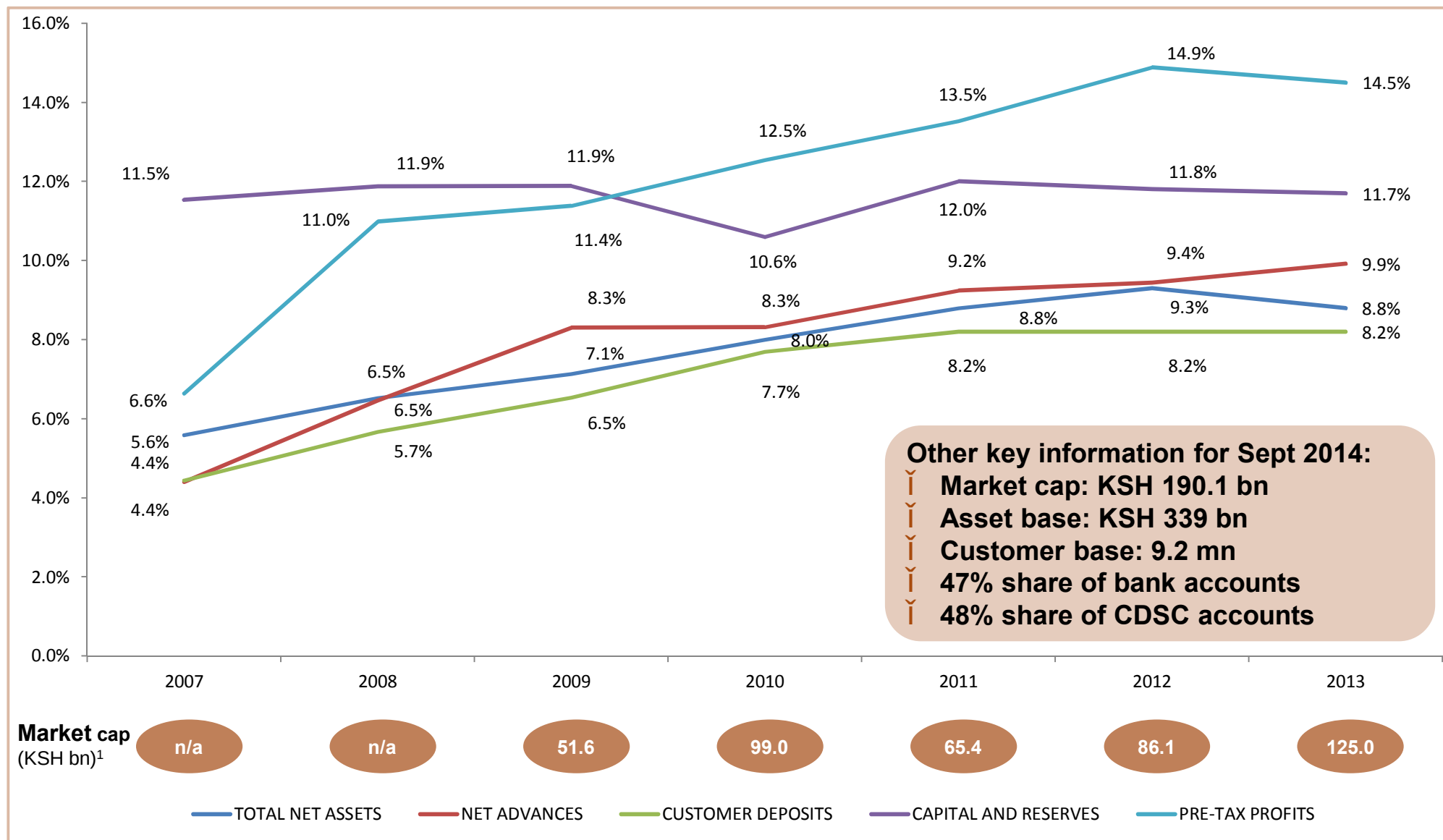


EQUITY BANK	Tier 1 Capital	Asset Size	Soundness Capital Asset Ratio	Capital Deployment Efficiency	Asset Deployment Efficiency
Global Rank	999	976	112	8	4



Equity is a market leader in banking in Kenya

Equity market performance



¹ Based on share price in September of the year



Equity is led by an experienced and diverse Global Leadership Team



DR. JAMES MWANGI, CBS

Chief Executive Officer & Managing Director

- ✓ Bachelor of Commerce degree and is a Certified Public Accountant
- ✓ Over 25 years of management experience



MARY WAMAE

Director of Corporate Strategy & Company Secretary

- ✓ LLB degree, Diploma in Law & Certified Public Secretary
- ✓ Over 14 years of experience in legal practice and joined the Bank in 2004



JULIUS KIPNG'ETICH

Chief Operating Officer

- ✓ Masters of Business Administration and Bachelor of Commerce (Accounting Option).
- ✓ Over 18 years of management experience. He joined Equity in 2004 as board member and management in 2012.



JOHN STALEY

Chief Officer – Finance, Innovation and Technology

- ✓ MSc. In Applied & Computational Mathematics, BSc. in Physics; qualified Chartered Accountant
- ✓ Over 23 years of experience



DR. HELEN GICHOHI, MBS

Managing Director, Equity Group Foundation

- ✓ Ph.D. in Ecology, MSc in Biology, BSc in Zoology
- ✓ Helen joined Equity Bank management in 2012



JUMAANE TAFAWA

Director, Strategic Partnerships

- ✓ MPA in International Development from Harvard University
- ✓ Over 11 years experience. Joined Equity Bank in 2012



ROHIT KUMAR SINGH

Group Executive Director – Corporate & SME Banking

- ✓ IESE Business School, Strategic Leadership Program, Carnegie Mellon University, Boston College, Master of Science (Finance), Cardiff Business School, Cardiff, UK, BTech Civil Engineering from HBTI, India



RAPHAEL HUKAI

Chief Information Officer

- ✓ B.S. degree in Computer Science from the Institute of International Politics of Beijing, China.
- ✓ Joined Equity Group in December 2013 after over 16 years of service at IBM Corporation



Managed by experienced and diverse Management Team (1/2)



REUBEN MBINDU
Human Resource Director

- ĩ BSc in Computer Science from Germany and is a full member of the Institute of Human Resource management in Kenya
- ĩ Joined Equity Group from Standard Chartered, where he was the Director of Human Resources for East Africa.



GERALD WARUI
Director of Customer Service, Research & Development

- ĩ Certified Public Accountant (CPA K) and a graduate of Advanced Management
- ĩ Gerald has served in Equity Bank for 15 years



ALLAN WAITITU
Director Special Projects

- ĩ Graduate of Advanced Management Programme
- ĩ Over 21 years experience in information technology and banking
- ĩ Joined Equity Bank in 2003



MICHAEL WACHIRA
Director of Treasury and Marketing

- ĩ Bachelor of Science degree in Economics and a MSC in Investment Management
- ĩ Over 16 years of experience and joined Equity Bank in 2009



HILDAH MUGO
Director of Operations

- ĩ MBA - strategic management and a Bachelor of Business Administration
- ĩ Over 21 years of banking experience and joined Equity Bank in 2004



ELIZABETH GATHAI
Director of Credit

- ĩ MBA, Bachelor of Commerce (Finance), CPA(K)
- ĩ Over 12 years of banking experience and joined Equity Bank in 2001



ANTHONY EMEKA OGBECHIE
Director, Finance

- ĩ MBA - INSEAD France
- ĩ ACA - Institute of Chartered Accountants in England and Wales
- ĩ MSc Management ĩ London School of Economics
- ĩ BA Business Administration - American Intercontinental University UK,
- ĩ Joined the bank in 2014



ELMAR W VAN EMMENIS
Director, PMO, EA and IT Governance

- ĩ Master's Degree in Business Administration (MBA): Northwest University, South Africa (2006)
- ĩ National Diploma: (Dip CMA): Technikon SA / University of South Africa, Cost Management Accounting (1995) Bachelor Degree: (BSc QS): Pretoria University, Quantity Surveying (1993) Project Management Accreditation, PMI certification - Project Management Professional (PMP)



Managed by experienced and diverse Management Team (2/2)



Regional management



Paul Gitahi,
Managing Director, Equity Bank South Sudan

- ĩ Career banker with over 24 years experience in operations, marketing and customer service.
- ĩ Previously worked with ABC Bank and Cooperative Bank.



JOSEPH IHA,
Managing Director, Equity Bank Tanzania

- ĩ Bachelor of Education in Accounting and Mathematics from the University of Nairobi
- ĩ Over 12 years banking and leadership experience in Credit, Corporate banking and Operations.
- ĩ Previously worked as the GM, Credit in Equity Bank Uganda and GM, Corporate Banking Division at Equity Bank Kenya
- ĩ Joined Equity Bank in 2005..



Samuel Kirubi,
Managing Director, Equity Bank Rwanda

- ĩ MBA (Finance) from Moi University and a BA in Economics and Statistics from Egerton University. Graduate of AMP (IESE Business School, Spain)
- ĩ Extensive experience in operations, marketing and customer service. Previously COO in Equity Bank South Sudan
- ĩ Joined Equity Bank in 2001.



Apollo Njoroge
Executive Director, Equity Bank Uganda

- ĩ BSc (Hons) from University of Nairobi in Mathematics and Physics, Masters Degree in International Business Administration in Finance from United States International University
- ĩ Wide experience of 17 years in banking
- ĩ Joined Equity Bank in 2008.

Investment Bank management



IRUNGU WILSON NYAKERA
Executive Director, Equity Investment Banking

- ĩ BSc Management Science Engineering ĩ Stanford University
- ĩ Joined Equity Bank in 2014 from Frontier Markets Fund Managers. Prior to that was Managing Director of NIC Capital



ANTHONY M. NGUGI, CFA
General Manager, Corporate Finance

- ĩ Master Science of Finance & Investment Management, Boston University School of Mgt
- ĩ BA Business Administration ĩ Northeastern University, Boston MA.
- ĩ Joined the bank in 2014



Muathi Kilonzo
Head of Brokerage

- ĩ MSc in Management - Imperial College London
- ĩ BSc in Economics and Philosophy - London School of Economics
- ĩ Joined bank in 2014



Supported by a Global Technical Team for Equitel



Eng. JOHN WAWERU
Executive Chairman- Finserve

- ✧ B.Sc in electrical engineering of the University of Nairobi
- ✧ Former Director-General of the Communications Commission of Kenya (CCK) between 2005-2008



ENRICO NORA
General Manager, Mobile Innovations

- ✧ Holds a Master Degree in Industrial Engineering from the Polytechnic of Milan, Italy and an MBA (with honours) from the University of Chicago, USA
- ✧ Was based in Singapore as CFO & COO of DOCOMO Intertouch, a division of NTT DOCOMO of Japan



JACK NGARE
General Manager, IT

- ✧ Masters of Science in Information Systems
- ✧ Bsc Computer Science (2nd Upper Class Honors) University of Leicester (UK)
- ✧ He is a Certified Information Systems Security Professional (CISSP); Certified Information Security Manager (CISM); Certified Information Security Auditor (CISA).



DIRK-JAN

- ✧ He has been consulting primarily in telecoms both national and international assignments with all major carriers 2011-2013,
- ✧ Former COO for Narrow Minds (Alacarta), a Mobile Virtual Network Enabler (MVNE), Caribbean mobile operator, Vodafone Global and Orange SA in the Netherlands.



ERIC KAROBIA

- ✧ BA in Economics & Mathematics from the University Of Nairobi
- ✧ A banking & mobile money expert .Previously worked with Equity, Airtel, Safaricom



IGNACIO MAS

- ✧ PhD in economics from Harvard University.
- ✧ Undergraduate degrees in Maths and Economics from MIT
- ✧ Currently a Senior Fellow at the Fletcher School's Council on Emerging Market Enterprises at Tufts University, a Senior Research Fellow at the Saïd Business School at the University of Oxford, and an Associate with Bankable Frontier



MANFRED KUHN

- ✧ PhD, focusing on credit risk and best practice financial technologies in the South African micro-finance sector in 2003 at the University of Natal
- ✧ Vast experience in of credit risk management and financial technologies

EQUITY CENTRE



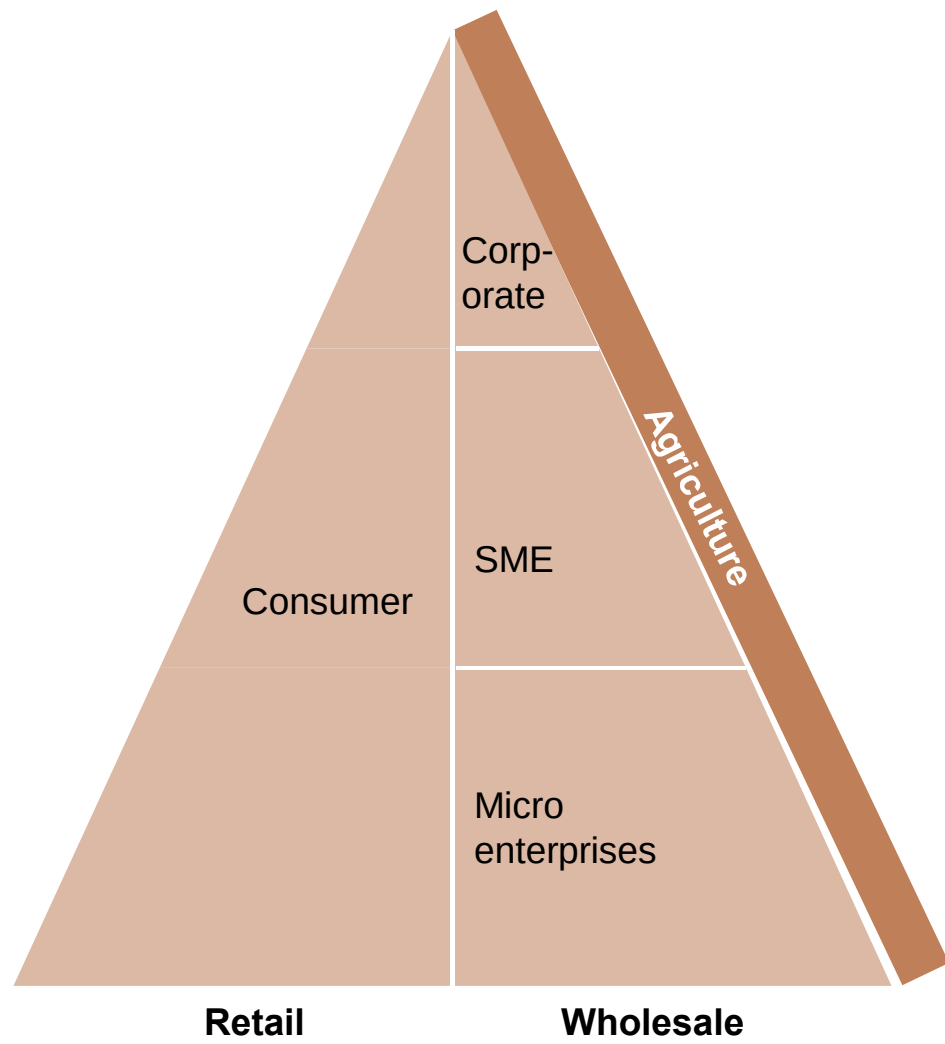
Update on Strategic Initiatives



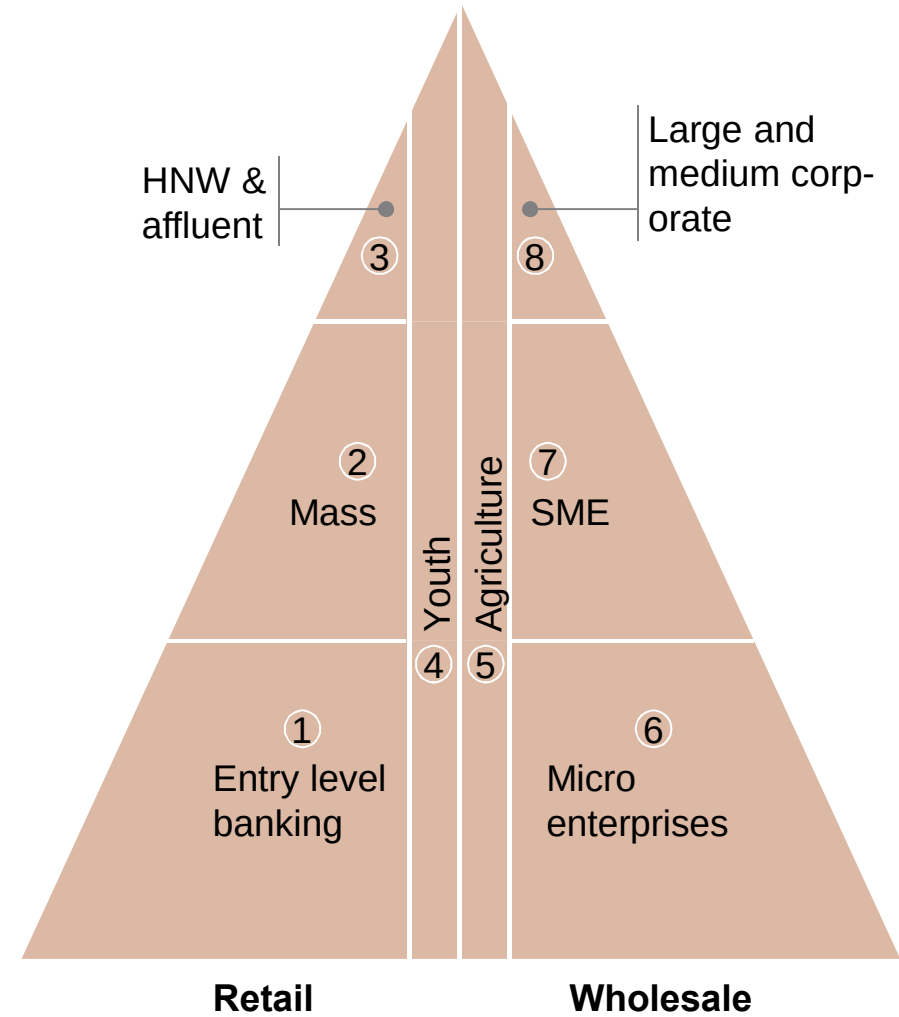
We designed our strategic initiatives based on the evolution and segmentation of customers



Equity 2.0

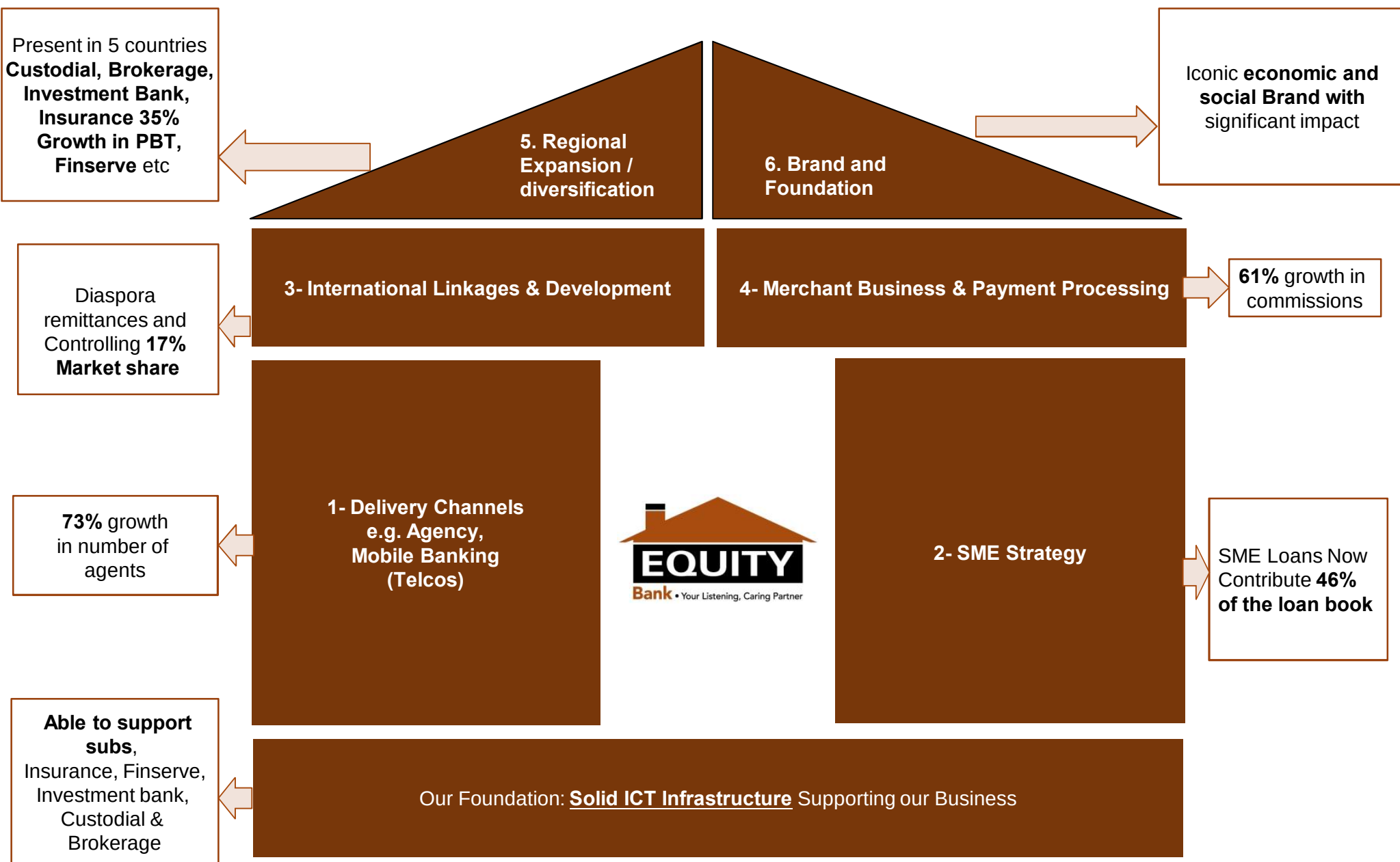


Equity 3.0





We have made solid progress on strategic initiatives to revolutionalise customer experience





1 We have continued to grow Agency Banking

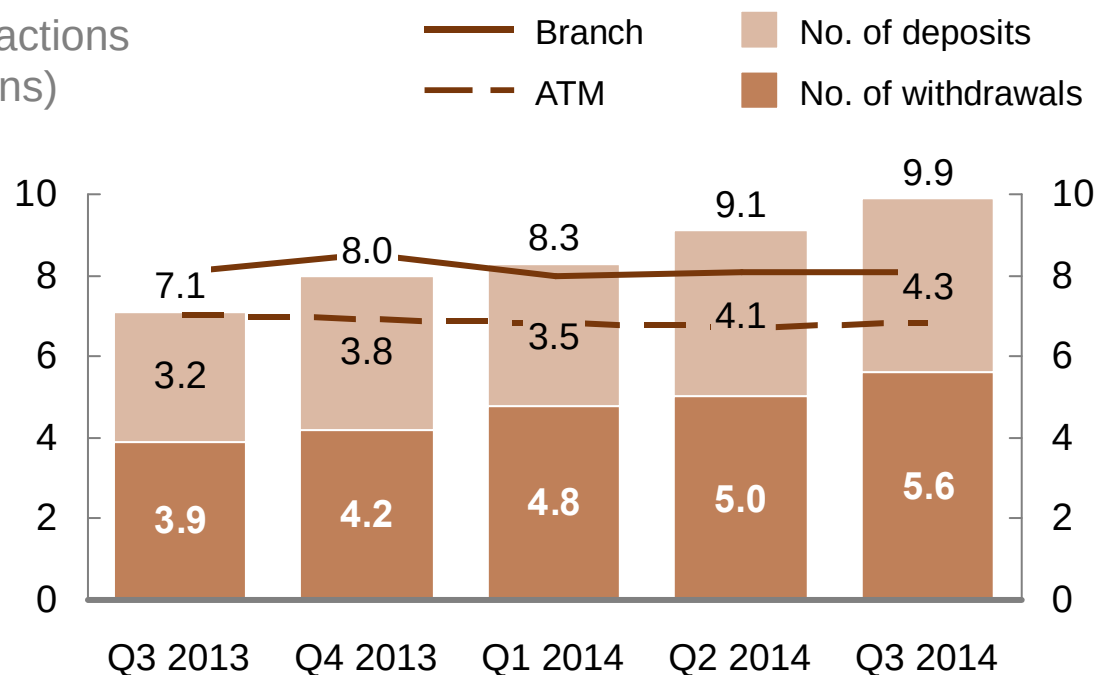


Equity has invested in growing Agency Banking...

- Number of agents increased to **15,875 agents. Over 70% growth y/y**
- Model has accelerated **financial inclusion** and **access to banking services**
- Variable cost model:** leverage on 3rd party infrastructure and cash flows
- Currently doing **account opening origination, cash deposit and withdrawal, balance enquiries** but with potential to increase product offering to include insurance sales, air ticket sales, loan origination and telecom services
- Transactions are real time-online**

...which has led to a steady increase in the transactions at agents overtaking Branch and ATM

Transactions (millions)



Deposit Amount (KSH Bn)

31.0

35.4

37.4

45.1

45.2

Withdrawal Amount (KSH Bn)

14.2

16.9

15.0

17.5

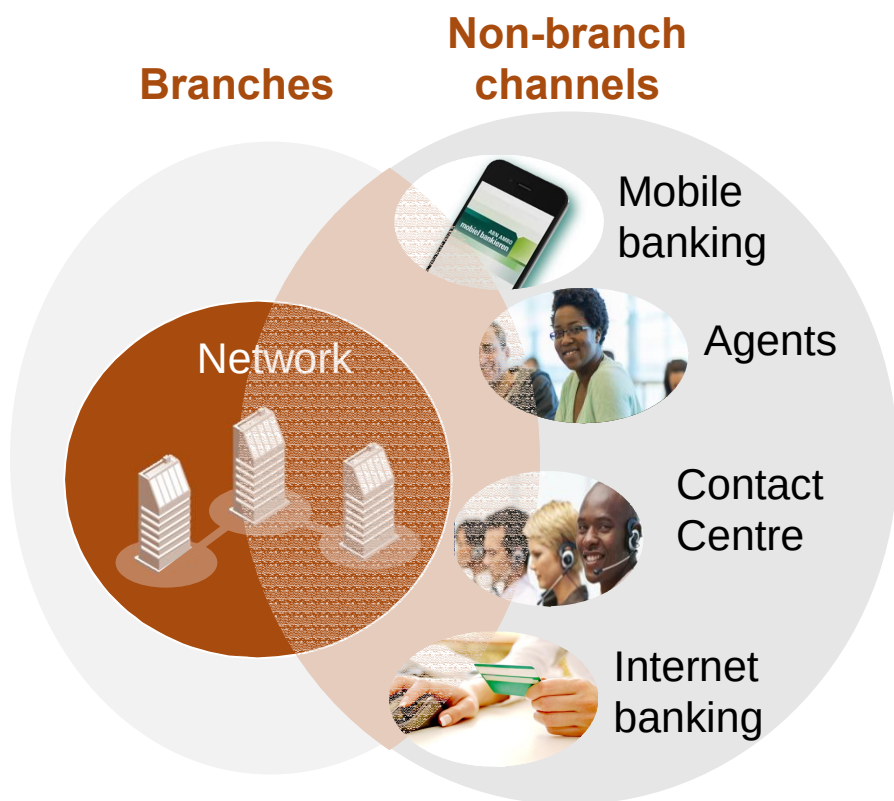
18.5



1 We are optimizing Mobile Banking

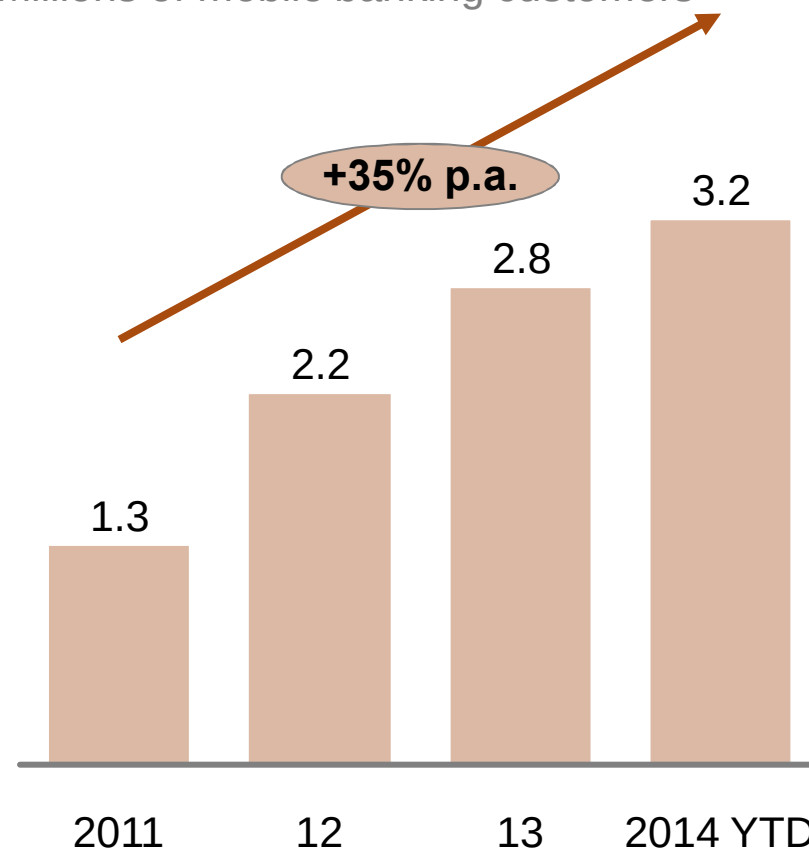


We are optimising our mobile channel...



...which has led to ~ 35% annual growth in Mobile Banking customers

Millions of mobile banking customers





1 Equitel is critical to Equity 3.0

Why	✎ Informed by the convergence of telecoms and banking or financial services ✎ Future of financial services to a great extent would be based on the mobile ✎ Deliver secure services efficiently and effectively ✎ Reduce cost of delivery and efficiency-customer owned delivery channels then you don't have financing costs ✎ Youthful adoption of mobile money in Kenya and the mobile phone as a provider of services ✎ Giving customers value-added services and creating stickiness for our customers so that they want to carry on banking with us
How	✎ Thin film technology converts existing phones into dual SIM phones ✎ Thin film technology enhance the capability of those phones and enhances functionalities that are only at the moment available on smartphones ✎ Offers current single-SIM phone owners the opportunity to have freedom of choice by converting their phone to dual-SIM and giving access to two networks concurrently
Cost	✎ With an MVNO there is no capex in terms of investment. There is no fixed cost. It's a variable cost. So essentially there will be no incremental cost in the structure of the bank
Status	✎ The Communications Authority of Kenya granted approval for the technology but complaint was raised by Safaricom ✎ Parliament has not written to stop roll-out but were seeking clarification of issues raised ✎ CAK and CBK are independent regulatory authorities that are not subject to the influence of any other party and have both granted unconditional approval for roll-out of thin-SIM technology ✎ Focus is on Increase new SIM activations while also increase usage of SIM cards (quantity AND quality of subscribers) ✎ Focus is on uptake of M Banking services

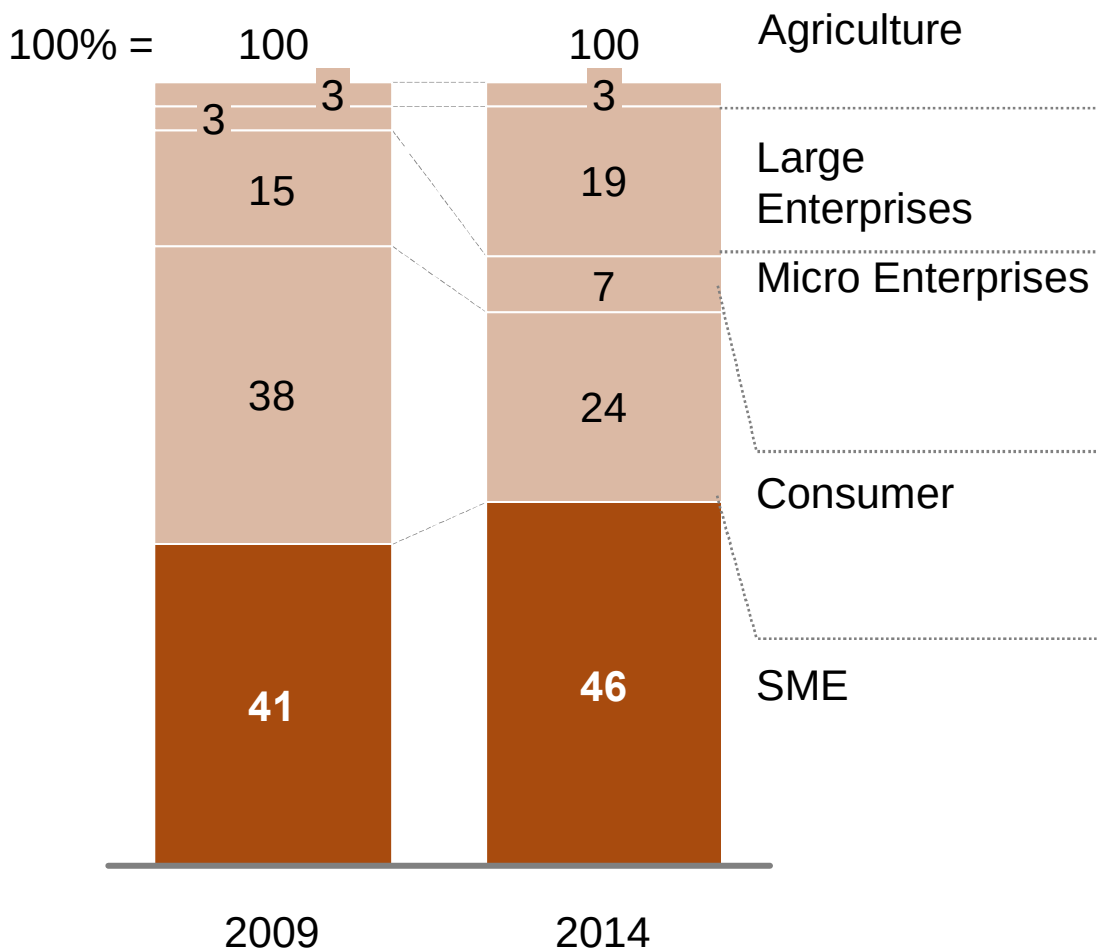


2 We have focused on supporting SMEs



Share of loan book by segment

Percent



Details

- Still a core area but now a reduced part of the loan book
- Focusing on value chain & clusters within large enterprises
- Still a core area but Improving macroeconomic environment driving evolution of micro enterprises into SMEs
- Consumer remains a core area but contribution now a reduced portion of the loan book
- Increased lending **to SME as a proportion of the loan book**
- Enhancing delivery by hinging on **Value Chains and Clusters**

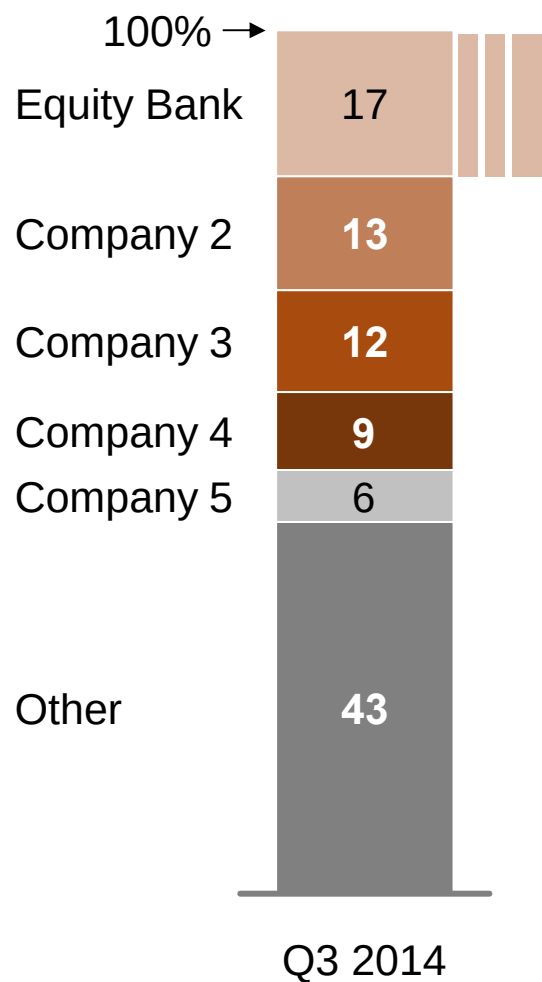


3 Under the Diaspora Remittances Initiative , International Linkages will also drive this growth



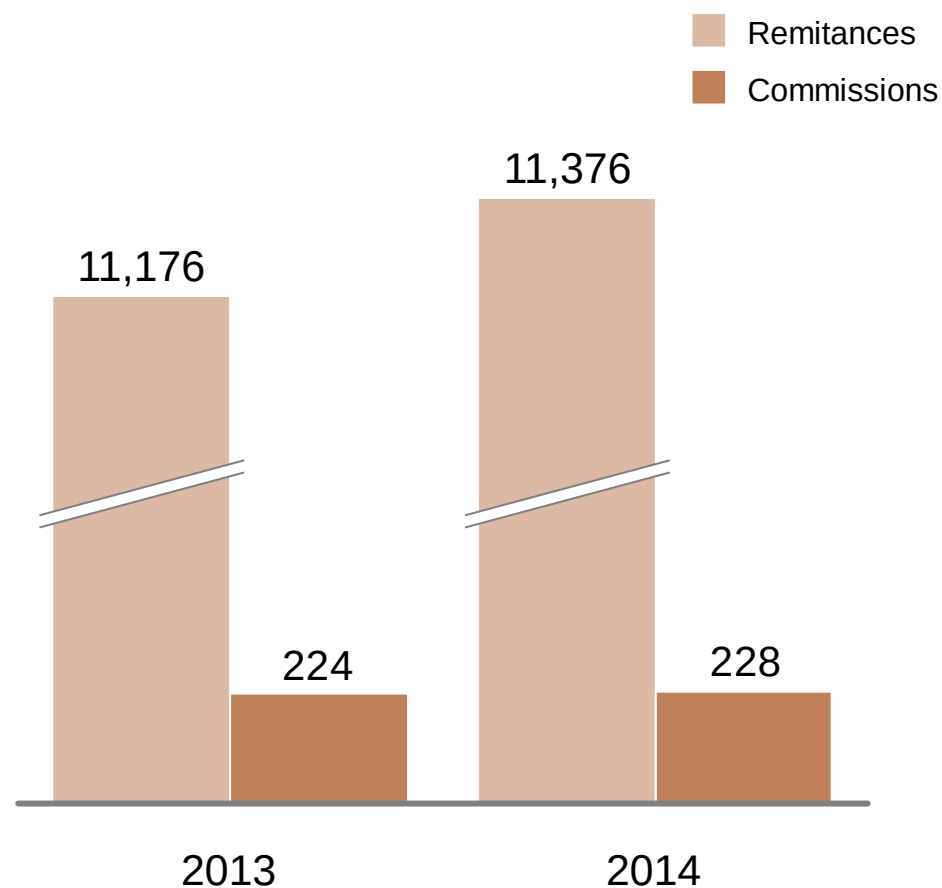
Market share

Percent



Equity Bank Diaspora Remittances

KSH mn



Remittances are a good source of short term FX funding and profitable line of business



4

We are building on our momentum in Payment Processing and Merchants...



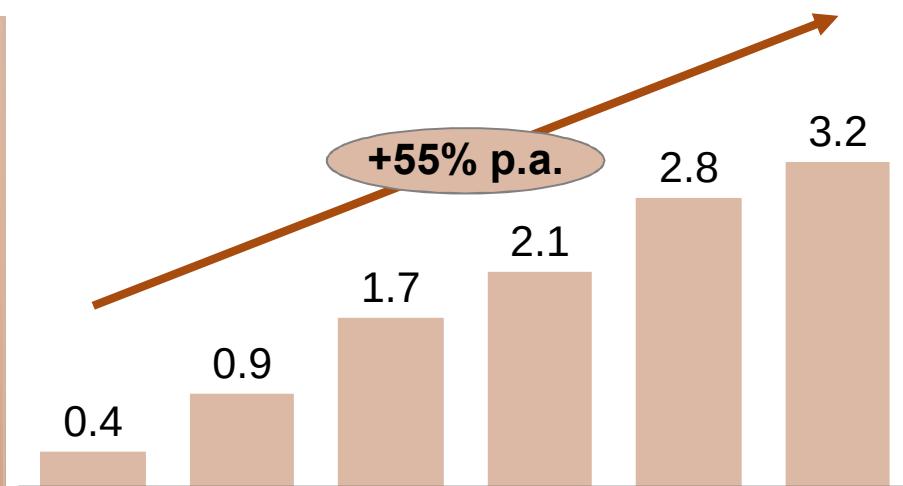
We have partnered with key payment companies...



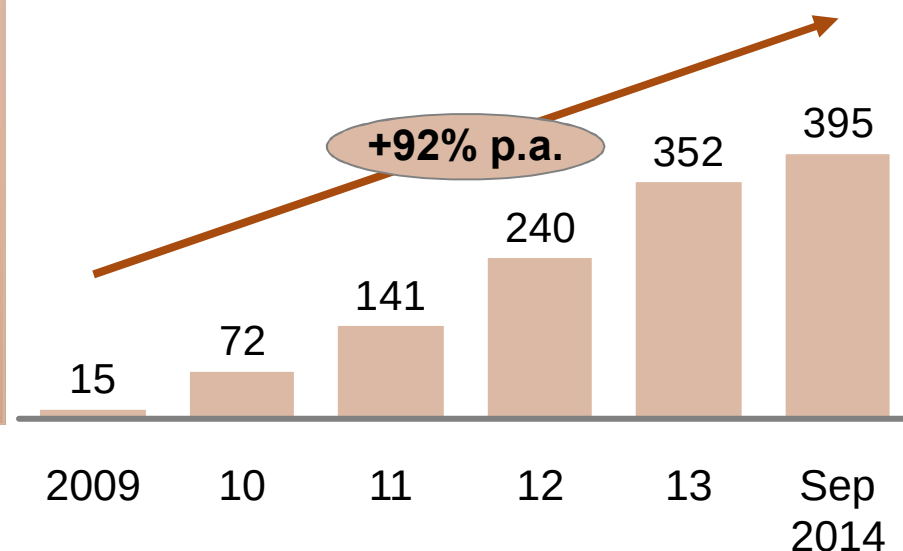
- ✓ Equity bank is leading in **Acquiring and issuing**
- ✓ **Best in class payment channel** services work well with merchants

...which has allowed us to grow our turnover and commissions

Transaction Counts
Millions



Commissions
Kes Millions





5 Regional Expansion & Diversification



KSH bn (unless otherwise noted)

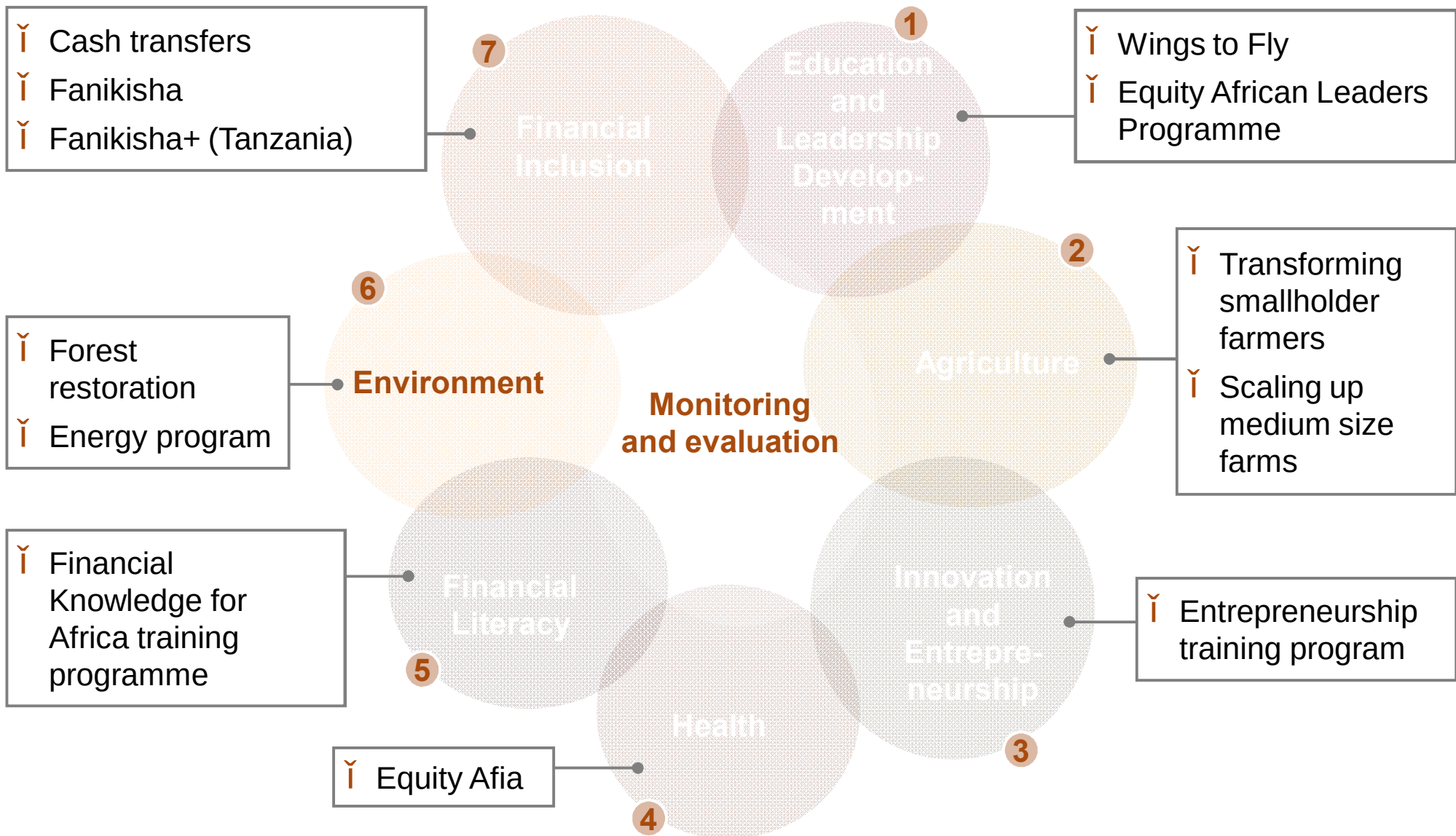
	<u>Business drivers</u>	<u>Sept 2013</u>	<u>Sept 2014</u>	<u>Growth</u>
Banking Subsidiaries (Uganda, S. Sudan, Tanzania, Rwanda)	Customers (number)	964,893	1,180,110	22%
	Deposits	32.77	49.52	51%
	Loan book	17.42	23.53	35%
	PBT	0.36	0.85	137%
	Total assets	44.30	67.47	52%
Non-Banking Subsidiaries (PBT)	Insurance	0.30	0.41	35%

New non-bank subsidiaries include:
Custodial, Finserve, Brokerage,
Investment Bank, Consulting Group



6

We have developed an economic and social Brand through the Foundation...





6 ... with tangible and scalable impact to date



2010 GRADUATING CLASS

98% completion

94% achieved university entry grades

14% achieved A-grade



YOUTH EMPOWERMENT THROUGH LOANS IN PARTNERSHIP WITH GOVERNMENT YOUTH FUND

KES 12 billion in loans to youth

TOTAL WINGS TO FLY SCHOLARS

10,000



2010 11 12 2013



WOMEN & YOUTH

1,202,851

Kenyan women and youth completed the financial literacy training in financial knowledge for Africa (FiKA) programme.



11,500

Entrepreneurs trained



460,000 Subsistence farmers converted to agri-businesses



University scholars

2,000 SCHOLARS

Of which 190 are placed in top global universities



TOTAL FUNDS SPENT ON PROGRAMS

USD

192,000,000



EMPOWERING WOMEN THROUGH FANIKISHA

KES

27 billion in loans to women



EQUITY CENTRE



Strong Financial Performance

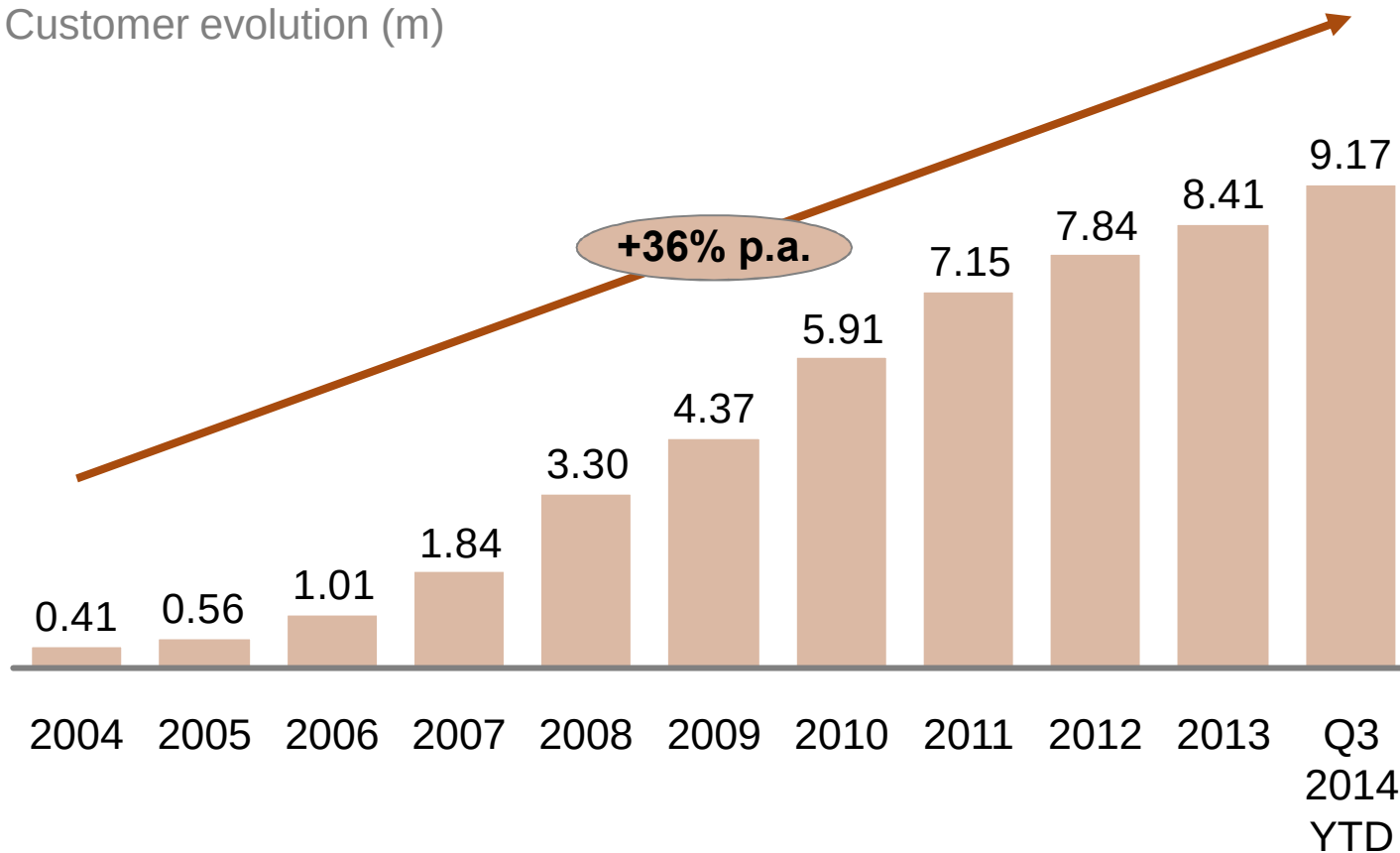


We have grown our customers to 9.2M, driven by our distinctive value proposition and channels



Equity has grown customer numbers substantially ...

Customer evolution (m)



- ĩ **Large volumes of smaller deposits** provide **low cost, stable funding**
- ĩ **Short-term small loans minimise cost of risk** ĩ customers incentivised to repay and up-size

...who are served across channels



Equity branches



Mobile banking



POS terminals



Equity branch ATMs



Self-service kiosks



Internet banking



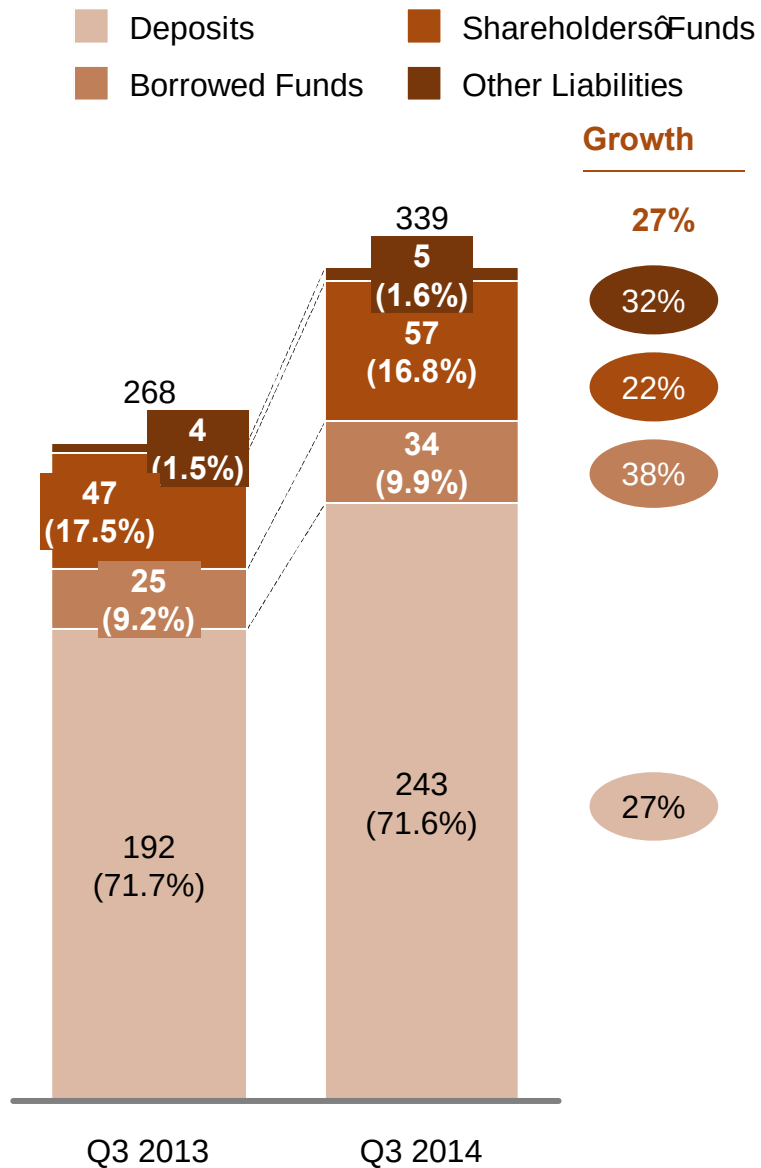
Equity agencies



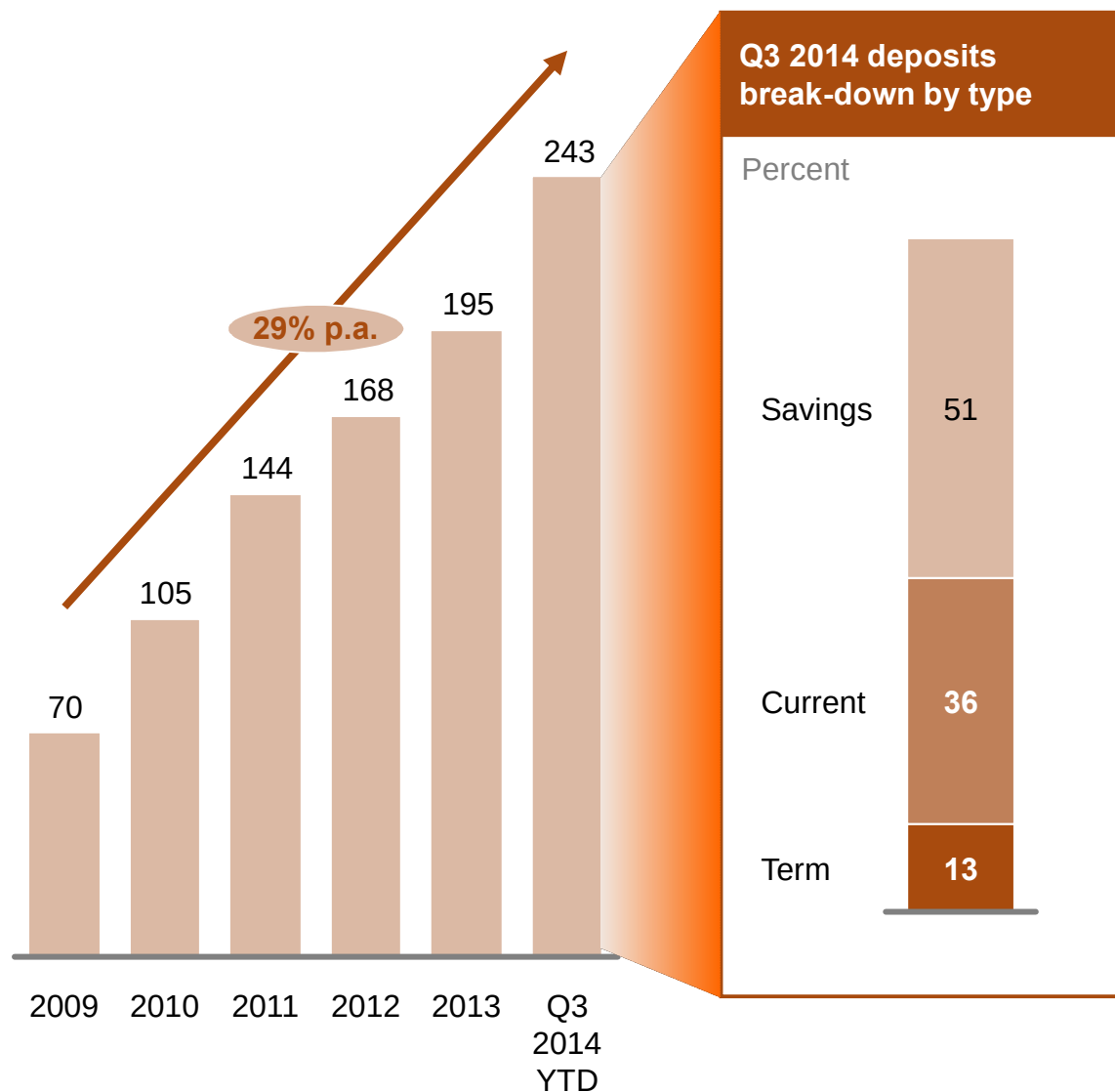
This has enabled us to increase funding to KSH 339 bn



Funding Distribution (KSH bn)



Deposit Evolution (KES bn, y/y)





And to increase assets to KSH 339 bn

Assets (KSH bn)

- Net Loans
- Government Securities
- Case & Cash Equivalents
- Other Assets

Growth

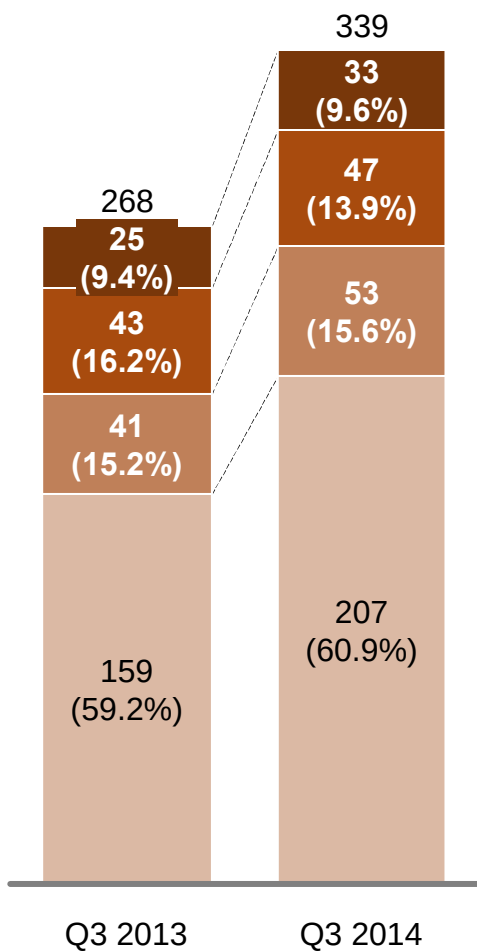
27%

30%

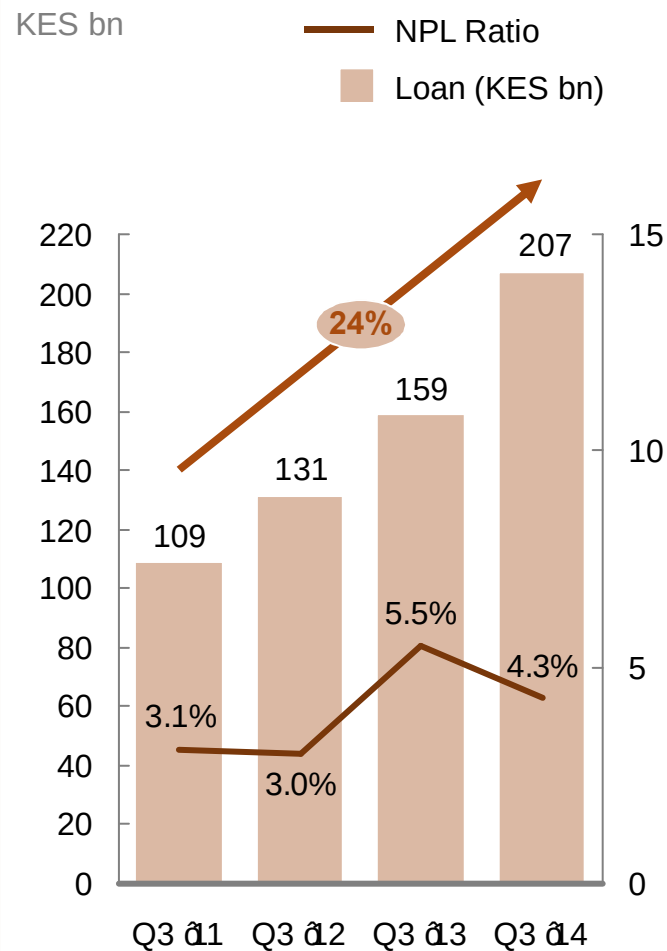
9%

30%

30%

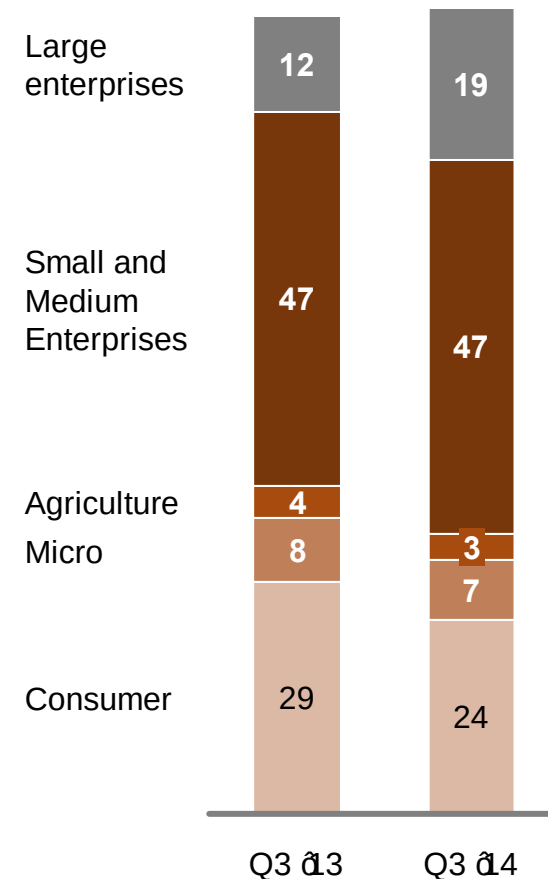


We have grown our loan book to KES 207 bn ...



... and continue to have diversified portfolio

Percent



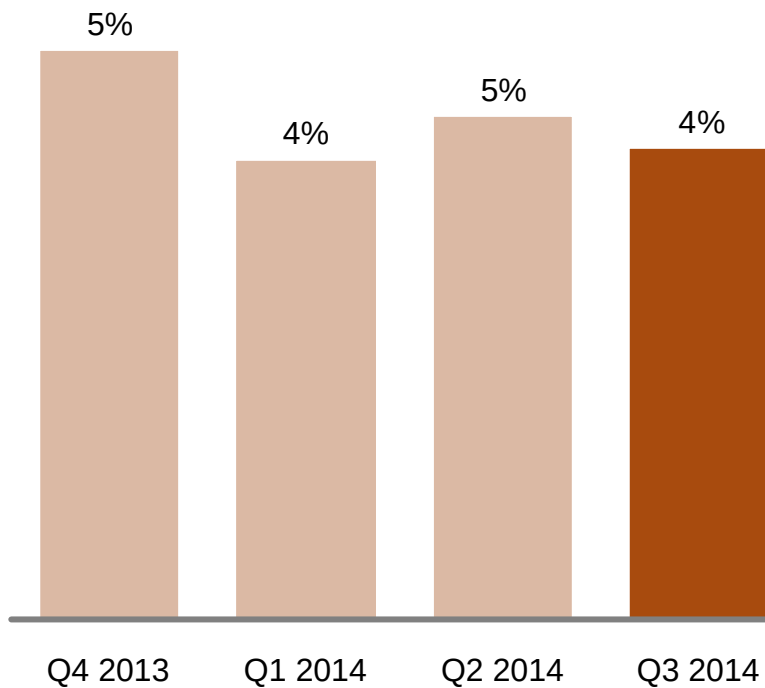
75% of the loan book is in local currency, and 25% in foreign currency



Our loan book quality continues to improve with reduced Cost of Risk and Stable Coverage levels...



Gross NPL Ratio (Group)



Cost of Risk

1.6%

0.7%

0.6%

0.6%

Comfortable Coverage : Coverage Ratio Evolution¹

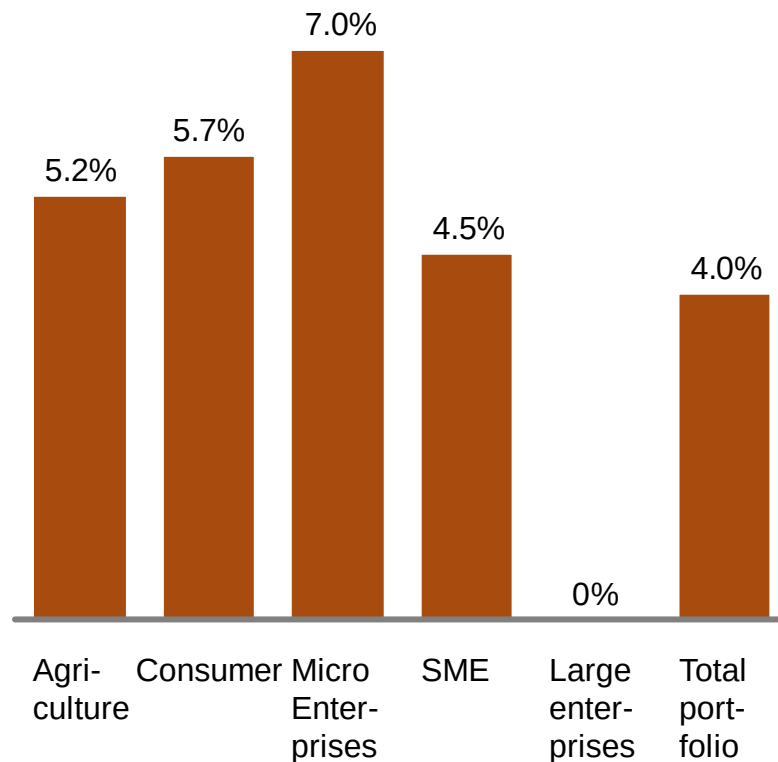
53.4%

69.3%

67.9%

61.2%

Gross NPL Ratio By Sector Q3 2014 (Bank)



¹ Split based on Kenya only

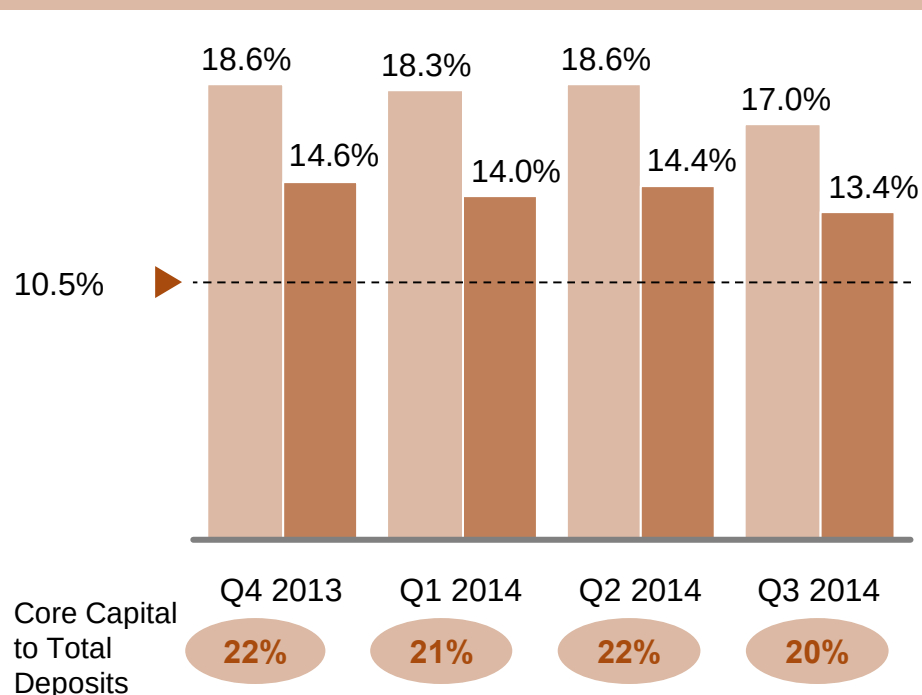


... enabled by strong capital management

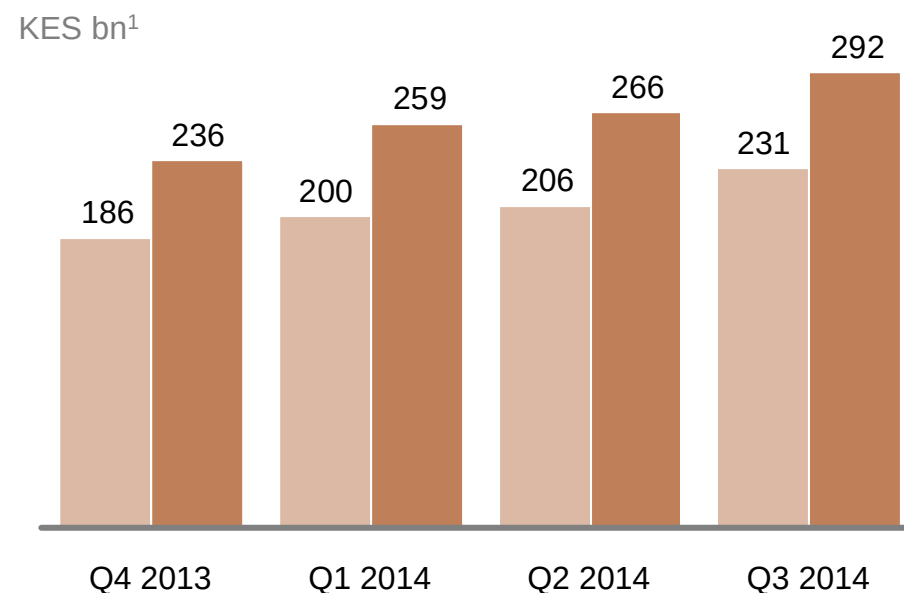


Old guidelines New guidelines Regulatory minimum

Core Capital to Risk Weighted Assets



Total Risk Weighted Assets Evolution (Kenya)



Key Commentary

- Core Capital/Risk Weighted Assets- The bank is reviewing its **Credit Risk Weighted Assets** to manage the risk weighted assets optimally.
- Total Capital/Risk Weighted Assets Closed at **16.1%** on account of growth in Credit risk weighted Assets. Still above the Minimum Statutory ratio of 14.5%.
- Core Capital/Total Deposits Closed at **20%** on account of growth in Credit risk weighted Assets. Still above the Minimum Statutory ratio of 10.5%.

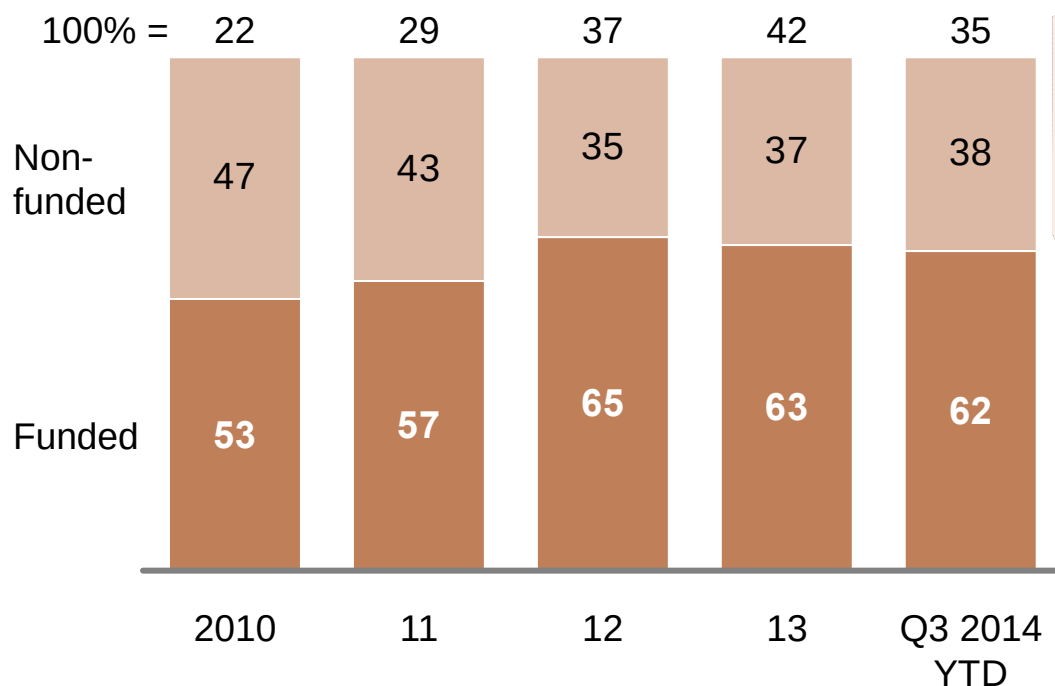
1 Split based on Kenya only



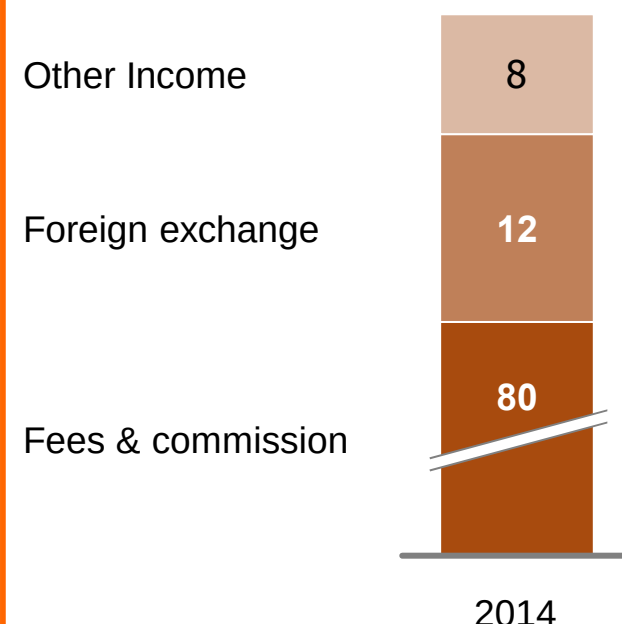
Both funded and non-funded income are significant



Funded and Non-funded Income, (% ; ksh bn)



Non Funded Income By Type, %



Highlights

- ǃ **Funded Income:** Interest income on loans and advances grew by **10% y/y** while on **government securities, and bank placements** grew by **13%** compensating for the decline in the yield on loans. **Interest expenses**, were up **17.0% y/y** due increased uptake in **borrowed funds and rise in customer deposits**
- ǃ **Non Funded Income:** **Fees and commissions** on loans and advances mirrored the **28.5% y/y** growth in loan book. The **19.0% y/y** increase in **Diaspora remittances** as well as increase in remittance market share to **16.8%** also supported the **15% y/y** growth in **foreign exchange trading income**



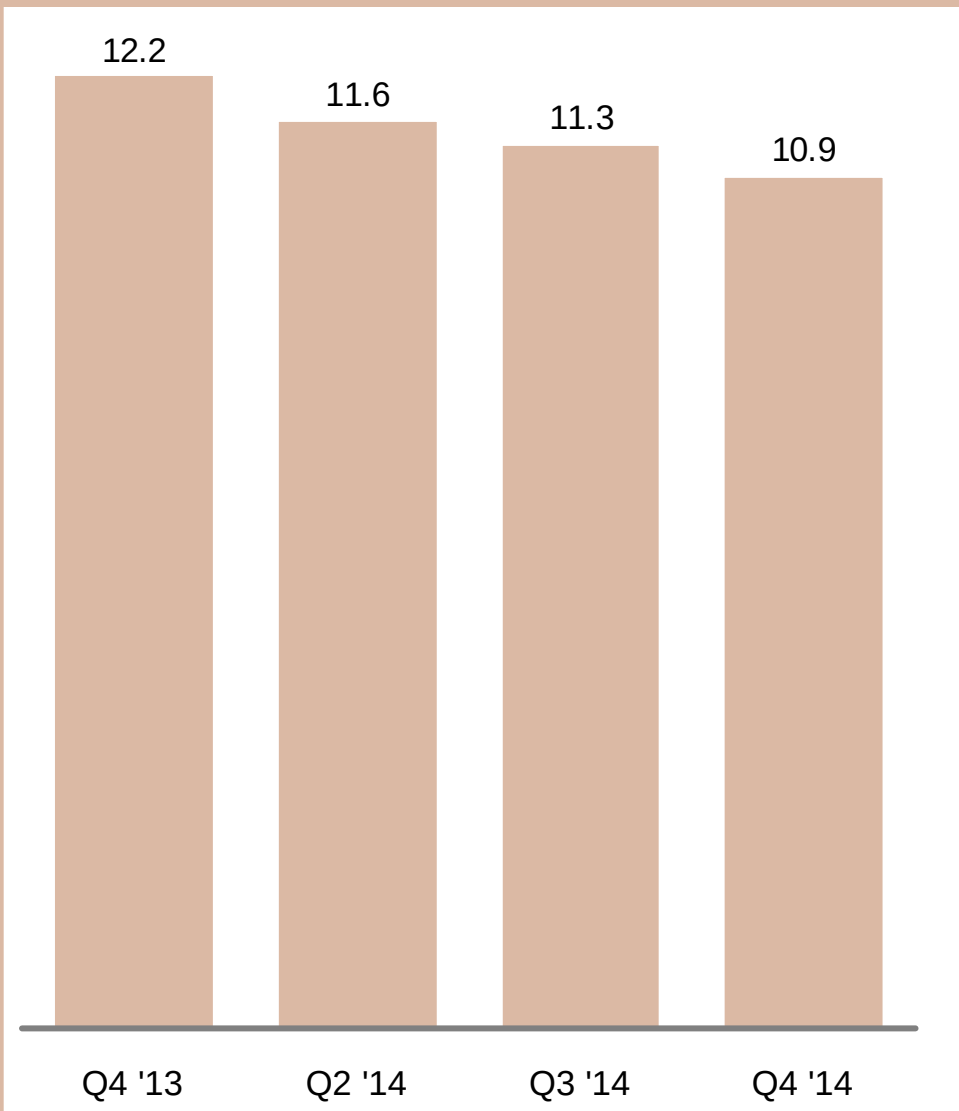
Net interest margin has declined slightly, driven by a lower yield on interest ...



Percentage

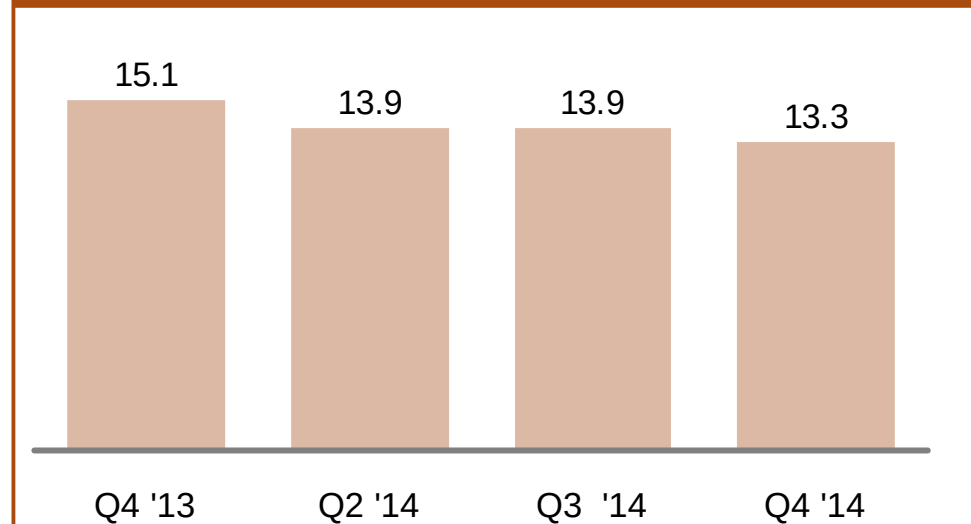
Equity's Net Interest Margin has declined over time ...

Net Interest Margin

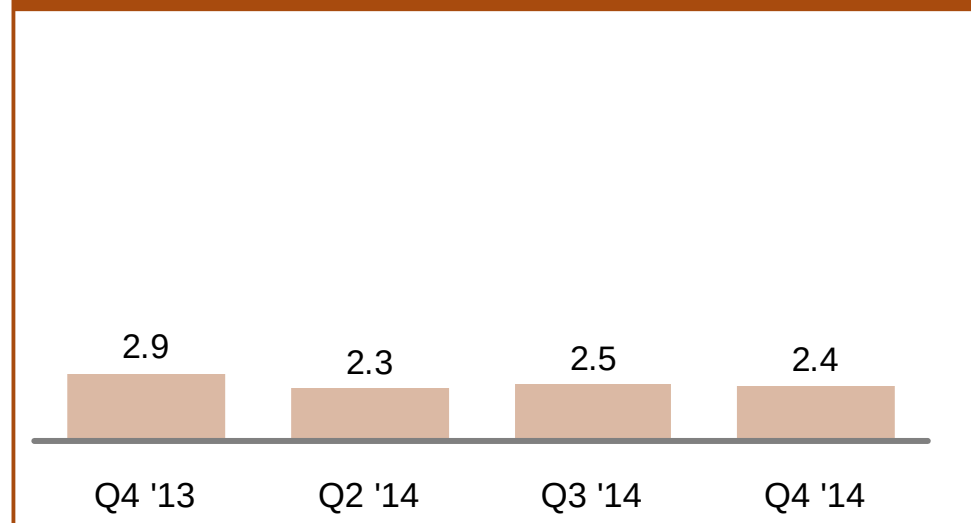


... driven by a decline in yield on interest

Yield on interest



Cost of funds

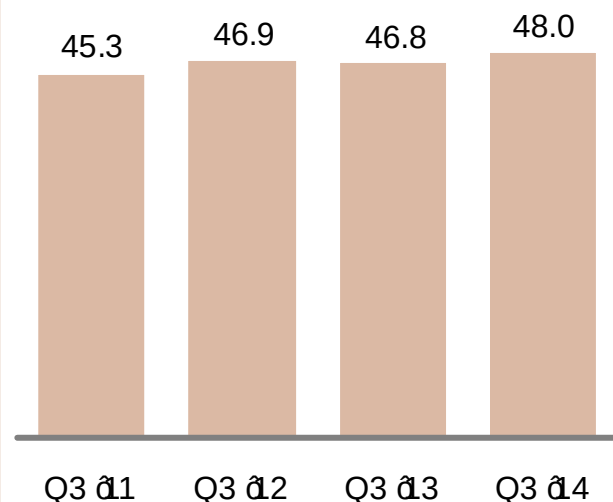




... despite a higher C/I ratio, PBT has grown at ~20% per year (CAGR), improving RoE

C/I ratio evolution (Bank)

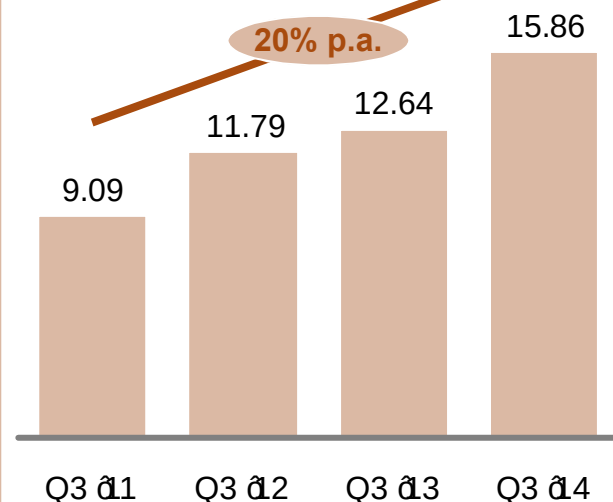
Percent



- ✓ **Total Operating Income** was up **14%** y/y faster than the **operating expenses** which were up **6%** y/y. **Staff costs** rose **16%** y/y, Other operating costs, meanwhile, increased by 17.0% y/y, significantly due upsurge in inflation during the period.
- ✓ On the other hand **Provisions** for bad loans reduced by 62% due to reductions in non performing loans levels

PBT evolution¹

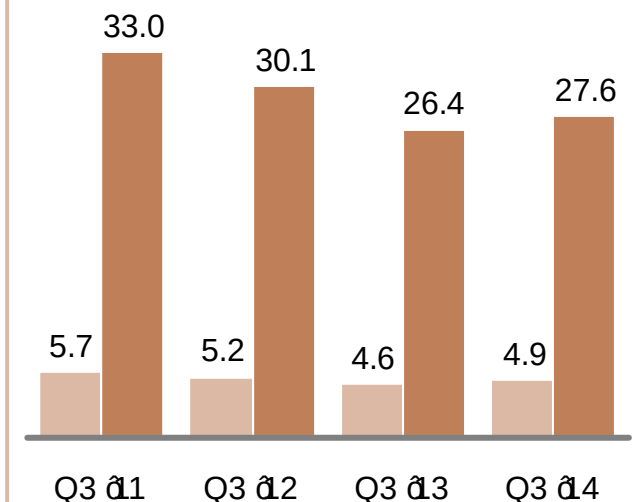
KES bn



- ✓ The growth in Profit is largely attributed to **increased diversification of income sources including incomes from Custodial business, commissions and earnings from foreign exchange trading, Diaspora Remittances and Merchant Banking**

RoAA / RoAE

Percent



- ✓ **RoE :Return on equity** increased from 26.4% at the end of September 2013 to 27.6% by the end of September 2014 .
- ✓ **ROA: Return on Assets** increased from 4.6% at the end of September 2013 to 4.9% by the end of September 2014 .

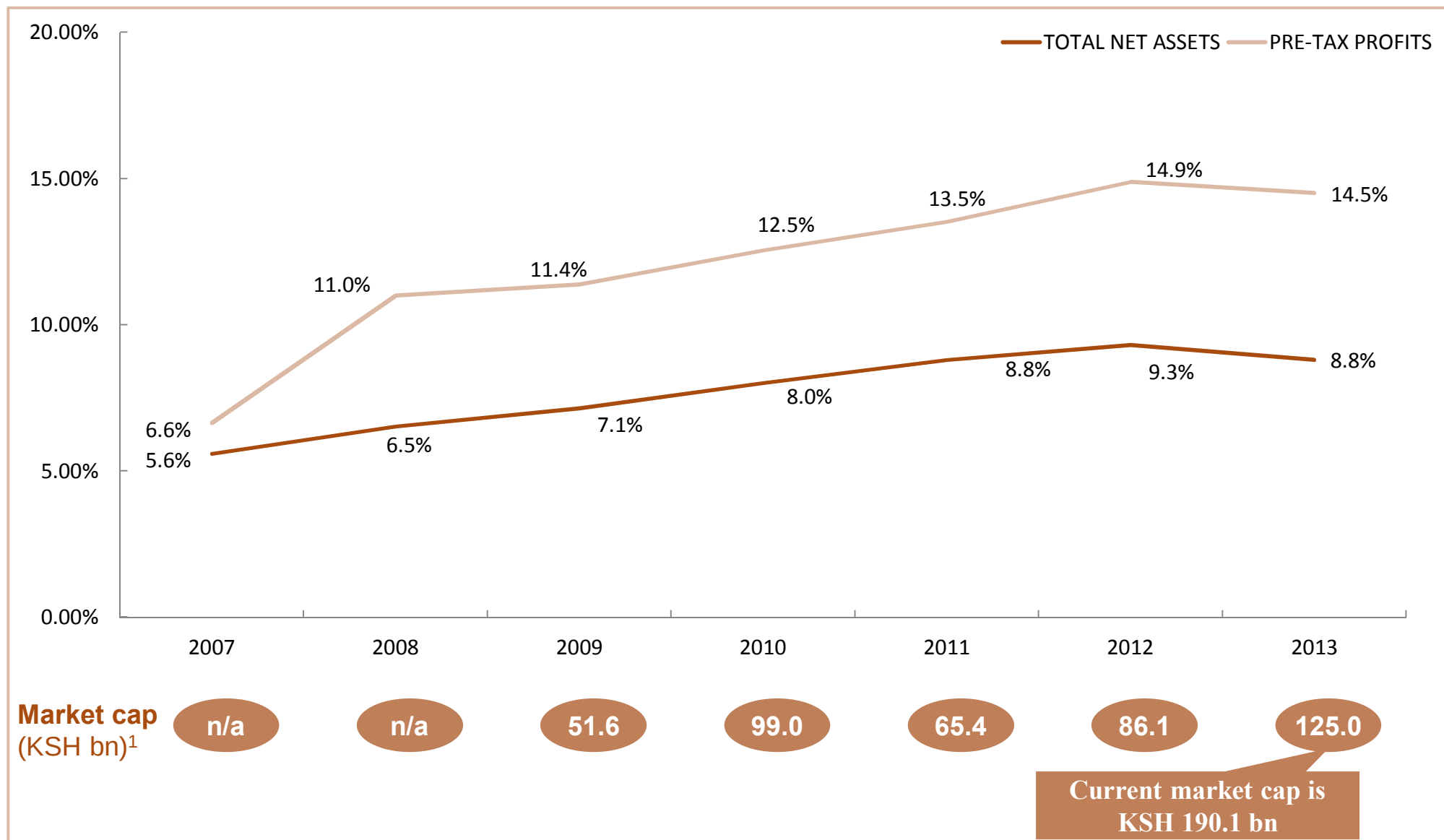
¹ Profit before tax after exceptional items



Our strong performance continues to drive value for our shareholders



Equity market performance



¹ Based on share price in September of the year



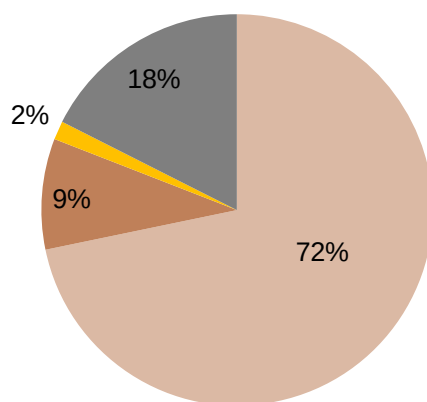
Broad base liabilities & funding sources



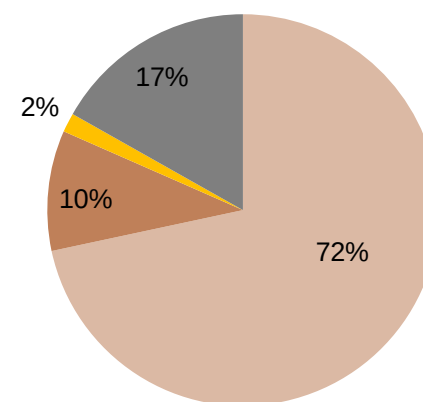
	Q3 2013	Q3 2014	Growth
Liabilities & Capital (Bn)	KES	KES	%
Deposits	192.05	243.14	27%
Borrowed Funds	24.54	33.76	38%
Other Liabilities	4.12	5.44	32%
Shareholders' Funds	46.96	57.10	22%
Total Liabilities & Capital	<u>267.67</u>	<u>339.44</u>	27%

Funding Distribution

Q3 2013



Q3 2014



■ Deposits ■ Borrowed Funds ■ Other Liabilities ■ Shareholders' Funds

■ Deposits ■ Borrowed Funds ■ Other Liabilities ■ Shareholders' Funds



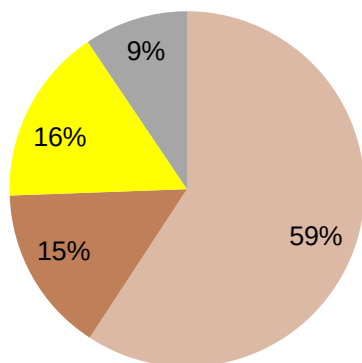
Asset portfolio & distribution



	Q3 2013	Q3 2014	Growth
Assets (bn)	KES	KES	%
Net Loans	158.58	206.70	30%
Cash & Cash Equivalents	40.66	52.83	30%
Government Securities	43.23	47.20	9%
Other Assets	25.20	32.71	30%
Total Assets	<u>267.67</u>	<u>339.44</u>	<u>27%</u>

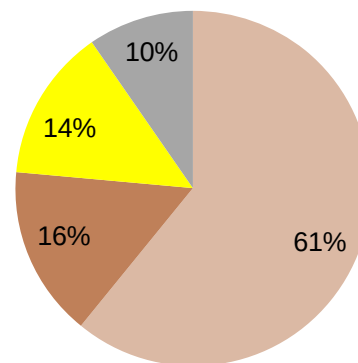
Asset Distribution

Q3 2013



■ Net Loans ■ Cash & Cash Equivalents
■ Government Securities ■ Other Assets

Q3 2014



■ Net Loans ■ Cash & Cash Equivalents
■ Government Securities ■ Other Assets



Delivering 26% Growth in PAT



KESm	Q3 2013	Q3 2014	Growth
Interest Income	23,560	26,040	11%
Interest Expense	(3,848)	(4,495)	17%
Net Interest Income	19,712	21,545	9%
Other Income	10,555	12,988	23%
Total Income	30,267	34,533	14%
Provisions	(2,371)	(900)	(62)%
Staff Costs	(6,699)	(7,765)	16%
Other Operating Expenses	(8,710)	(10,174)	17%
Total Costs	(17,780)	(18,839)	6%
Exceptional Items	152	165	9%
PBT	12,639	15,859	25%
Tax	(3,735)	(4,646)	24%
PAT	8,904	11,213	26%



Positive key financial ratios



	Bank	Bank		Group	Group
	Sept 2013	Sept 2014		Sept 2013	Sept 2014
Profitability					
NIM	13.1%	11.9%		12.3%	10.9%
Cost to Income Ratio	46.8%	48.0%		50.9%	51.9%
ROE	24.9%	25.6%		26.4%	27.6%
ROA	4.9%	5.2%		4.6%	4.9%
Asset Quality					
NPL Ratio	5.2%	4.0%		5.5%	4.3%
Cost of Risk	1.79%%	0.49%		2.15%	0.63%
NPL Coverage	53.6%	63.6%		52.3%	61.2%
Liquidity / Leverage					
Loan / Deposit Ratio	88.6%	94.6%		86%	73%
Statutory Liquidity Ratio	38.3%	30.1%		38.3%	30.1%
Capital Adequacy Ratios					
Core Capital to Risk Weighted Assets	14.9%	13.4%		14.9%	13.4%
Core Capital to Deposits Ratio	20.9%	20.2%		20.9%	20.2%
Total Capital to Risk Weighted Assets	22.6%	16.1%		22.6%	16.1%



THANK YOU

Dr James Mwangi, CBS
Group Managing Director & CEO

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